



United States Savings Vehicles

Here are some of the types of retirement accounts you might be eligible to use:

- 401(k).
- Solo 401(k).
- 403(b).
- 457(b).
- IRA.
- Roth IRA.
- Self-directed IRA.
- SIMPLE IRA.
- SEP IRA.
- HSA.

Here's a look at how each type of retirement plan works and how to make the most of these long-term savings vehicles.

401(k)

A 401(k) account is offered through employers, so you'll need to check if this plan is available at your workplace. In 2021, the IRS allows you to contribute up to \$19,500 to a 401(k) if you're under 50 years old. If you are age 50 or older, you can put up to \$26,000 in the account. Your employer may match a certain portion of your contributions. The amount contributed to a 401(k) is deducted from your taxable income. You'll need to start taking withdrawals from the account, known as required minimum distributions, starting at age 72. When funds are withdrawn, they are subject to taxes. You may also face penalties if you take money out of the account before age 59 1/2.

Solo 401(k)

Also known as a one-participant 401(k) plan, a solo 401(k) is designed for an individual business owner without any workers. If you are self-employed and don't have any employees, you may also be eligible for a solo 401(k). The IRS allows contributions of up to \$58,000 in 2021. If you are 50 or older, you can also make catch-up contributions of up to \$6,500.

403(b)

If you work for a nonprofit or tax-exempt organization, you may be eligible for a 403(b). This account is similar to a 401(k) and allows you to contribute up to \$19,500



in 2021. If you are 50 or older, you can set aside up to \$26,000. Earnings grow tax-free until you withdraw them. Distributions from a 403(b) are considered taxable income.

457(b)

A 457(b) plan is offered through state and local governments. If you are eligible for the account, you'll be able to contribute up to \$19,500 in 2021, or \$26,000 if you are 50 or older. You can also withdraw funds before age 59 1/2 without incurring a penalty.

IRA

An individual retirement account is only available to those with earned income. If you earn \$2,000, you'll be able to put up to \$2,000 into the account. The contribution limit for an IRA is \$6,000 in 2021, or \$7,000 if you are 50 or older. Like a 401(k), you'll receive a tax deduction for the money you put into an IRA. When you withdraw funds, they will be considered taxable income. You'll need to start taking distributions from the account after you turn 72.

Roth IRA

Like an IRA, you need earned income to be eligible for a Roth IRA, and the amount contributed cannot be more than the amount you earn. You can set aside up to \$6,000 in 2021, or \$7,000 if you are age 50 or older. Unlike an IRA, you'll pay taxes on the amount you contribute to a Roth IRA. However, the money grows tax-free in the account, and no income tax will be due on Roth IRA withdrawals in retirement. A Roth IRA does not require that you take distributions in retirement.

Self-Directed IRA

A self-directed IRA has the same contribution limits and eligibility requirements as a traditional IRA, but differs in the investments that you are able to make. Unlike traditional accounts, a self-directed IRA allows you to place funds into alternative assets such as cryptocurrencies, precious metals and real estate.

SIMPLE IRA

If you work at a small business with 100 or fewer employees, you may be eligible for a Savings Incentive Match Plan for Employees IRA. To participate in a SIMPLE IRA, you'll need to have earned at least \$5,000 from the company during the previous two years and also be expected to receive at least \$5,000 in the current year. Through this account, you'll be able to contribute up to \$13,500 in 2021. If you are age 50 or older, you can make an additional catch-up contribution of \$3,000. In addition, employers are required to make contributions to the account. Like a 401(k), the amount you



contribute will be deducted from your taxable income, but when you withdraw funds in retirement, they will be subject to taxes. If you take money out of a SIMPLE IRA before age 59 1/2, you may have to pay a penalty.

SEP IRA

A Simplified Employee Pension IRA is designed for small business owners with several employees and self-employed individuals. If you are eligible for a SEP IRA, you'll be able to set aside up to either 25% of your compensation or \$58,000 in 2021, whichever is less. You won't pay taxes on the amount contributed, but the funds withdrawn will be subject to taxes. You'll need to start taking withdrawals at age 72. If you withdraw funds before age 59 1/2, you may have to pay penalties on the amount taken out.

HSA

A health savings account can be used to build funds to help cover health costs in retirement. To be eligible for an HSA, you need to have a high-deductible health insurance plan. You can contribute up to \$3,600 to an HSA in 2021 as an individual, or as much as \$7,200 if you have family coverage. There is an additional \$1,000 contribution allowed if you are 55 or older. The amount set aside in an HSA is tax-deductible. The funds grow tax-free and can be withdrawn tax-free if they are used to pay for qualifying medical expenses.



529 Plan

A 529 plan, legally known as a “qualified tuition plan,” is a college investment plan that offers tax and financial aid advantages.

You’ll be able to find two different types of 529 plans: prepaid tuition plans and education savings plans. All 50 states and the District of Columbia sponsor at least one type of 529 plan.

The major benefit to 529 plans? Tax advantages — no question about it. 529 plans offer tax-free investment growth and withdrawals for approved expenses like tuition, books, room and board. They’re completely free of federal income or capital gains tax.

They’re also flexible. This means you can transfer them from child to child (also called your “beneficiaries”), there are no income or age restrictions and the upper limit on annual contributions is typically about \$300,000, though this amount varies by state. In contrast, the Coverdell ESA, another college savings option, limits contributions and restricts eligibility to specific income levels.

A few things to note about 529 plans:

- Funds must be used for qualified educational expenses.
- You’ll pay fees for each type of plan.
- You’ll also encounter some ownership rules. The owner of the account (not your child!) gets to make decisions about how the money is used.

Prepaid tuition plans

A prepaid tuition plan allows you to buy units or credits at colleges and universities that participate in your state’s prepaid tuition plan. In other words, you lock in today’s rates for tomorrow. What do the units or credits go toward? Tuition and fees only — not room and board.

Most states offer you a promise — that a prepaid plan will keep pace with tuition. In other words, prepaid tuition plans are financially backed by most states.

Some states offer no guarantees that the plan will fund the future cost of tuition or that the state will step in if the plan can’t cover costs, however.

Education savings plans

The other type of plan, an education savings plan, lets you open an investment account to save for your beneficiary’s future qualified higher education expenses. Qualified higher education expenses include tuition, room, board and fees.



You can use an educational savings plan at any college or university and you can even pay for tuition at any public or private elementary or secondary school.

Pros and cons

As with most types of investments, there are pros and cons. Let's dive into the nuances of each type of investment.

Prepaid tuition plan pros

- You get a locked-in rate. Tuition continues to skyrocket, so locking in a tuition rate gives you the best chance of keeping things absolutely steady.
- You don't need to make specific investment decisions. Trying to figure out the benefits of one mutual fund over another? Don't stress. You'll sidestep having to make decisions about risk tolerance, asset allocation and all that... stuff... with a prepaid tuition plan.
- You're not at the mercy of stock market fluctuations. Unlike an education savings plan, you're not investing in the stock market and crossing your fingers that the markets will behave perfectly during all your years of saving.
- You'll still find flexibility with in-state options. You can transfer pretty seamlessly from one in-state option to another if your child decides to go to a different college within state boundaries.
- You can transfer to siblings. It's okay to transfer prepaid tuition from child to child.

Prepaid tuition plan cons

- State-based options can be limiting. 529 plans are state-based, which means your child can't go out of state for college.
- Your investment isn't guaranteed by some states. If your plan hits a shortfall, your child might be out of luck. Make sure each plan is backed by a guarantee before you elect to participate.

Education savings plan pros

- Several investment options are available to you. You can choose an age-based plan that will grow more conservative as your child grows older — a popular option so you're not taking on risky investments when your child is in high school.
- There's no residency requirement. You can use your 529 education savings plan wherever you want, even if your child lives in Iowa and wants to go to school in Massachusetts.



- The contribution amount is up to you. Maximum limits range from approximately \$200,000 to \$400,000, depending on the state in which you live.

Education savings plan cons

- You won't experience a lock on tuition rates. Unlike prepaid tuition plans, you won't get to lock in college tuition for the future. This means that you'll pay whatever the tuition amount is whenever your child enters college.
- Your money is exposed to risk. You'll be subject to the whims of the stock market. Fortunately, if you choose

What are the Withdrawal Rules?

You can withdraw money from a 529 plan at any time for any reason. However, you'll pay both a 10 percent penalty and ordinary income taxes on the earnings if you don't spend the money you've saved on qualified higher education costs.

If your child doesn't attend a participating college or university, prepaid tuition plans specifically may pay less than if your child attends a participating college or university.